JOINT HEARING OF THE COMMITTEES ON ENERGY AND ENVIRONMENT AND ON THE JUDICIARY

On House amendments to Senate Bill 214, 11 July 2025 (excerpt)

CHAIR (House). We come to the assessment provision.

REPRESENTATIVE NAKAMURA. I want to be clear about what is being charged for. Subsection (1)(a) says the assessment is based on sales between June 2020 and June 2025. This bill takes effect in September of this year. So the charge reaches back more than five years before the Act exists.

LEGISLATIVE COUNSEL. That is what the text provides.

REPRESENTATIVE NAKAMURA. And the entity that pays is fixed as of the end of 2025?

LEGISLATIVE COUNSEL. As of the end of 2025, yes. The measuring period for the sales closes in June of that year. The two dates are not the same date.

REPRESENTATIVE NAKAMURA. Why not?

LEGISLATIVE COUNSEL. I cannot tell the Committee why. The Senate text carried both dates and neither was amended.

REPRESENTATIVE OYELARAN. Counsel, is there a difficulty in charging for past sales?

LEGISLATIVE COUNSEL. There is authority on retroactive taxation. This office does not advise the Committee on constitutionality; that is for the Attorney General. I can say that the length of the reach-back is a matter the courts have treated as relevant.

REPRESENTATIVE NAKAMURA. How long is the reach-back here?

LEGISLATIVE COUNSEL. The Committee can compute it from the two dates in the text.

CHAIR (House). We will move to the new subsection on methodology.

REPRESENTATIVE OYELARAN. On that. Subsection (1)(a) says pro-rata sales. The new subsection says estimated carbon dioxide equivalent. Which governs?

LEGISLATIVE COUNSEL. The bill does not say. The Committee has told the drafters that the Board would reconcile them in the regulations.

REPRESENTATIVE OYELARAN. Do they give the same answer?

LEGISLATIVE COUNSEL. Not necessarily. They are different measures. The difference would depend on the mix of products each seller sells.

CHAIR (House). The amendment is reported.

Transcript prepared jointly by the Secretary of the Senate and the Clerk of the House.